



St. Petersburg School of Economics and Management

International Bachelor in Business
& Economics

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The impact of countries' socio-economic attractiveness on FDI inflows

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Introduction

Research Question:

How does the countries' level of ease of doing business affect the volume of attracted foreign direct investment in 2019?

Research Goal:

The goal is to study the relationship between the level of ease of doing business and the volume of foreign direct investment attracted by countries in 2019

Relevance of the project

- **FDI Importance:** Foreign direct investment is vital for economic growth, providing capital, technology, and jobs
- **Key Influencing Factors:** The ease of doing business, political stability, urbanization, and GDP per capita significantly affect FDI attraction
- **Practical Significance:** opportunity to provide sound recommendations for improving the competitiveness of countries in the global investment market.

ORIGINAL PAPER

Country Attractiveness: Analysis of the Main Factors

A.G. Avetisyan
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(Avetisyan A.G., 2020)

Nexus between Ease of Doing Business and Foreign Direct Investment: Evidence from 130 Economies

Xinxin Xu¹, Yue Hu^{2,*}, and Safdar Husain Tahir³

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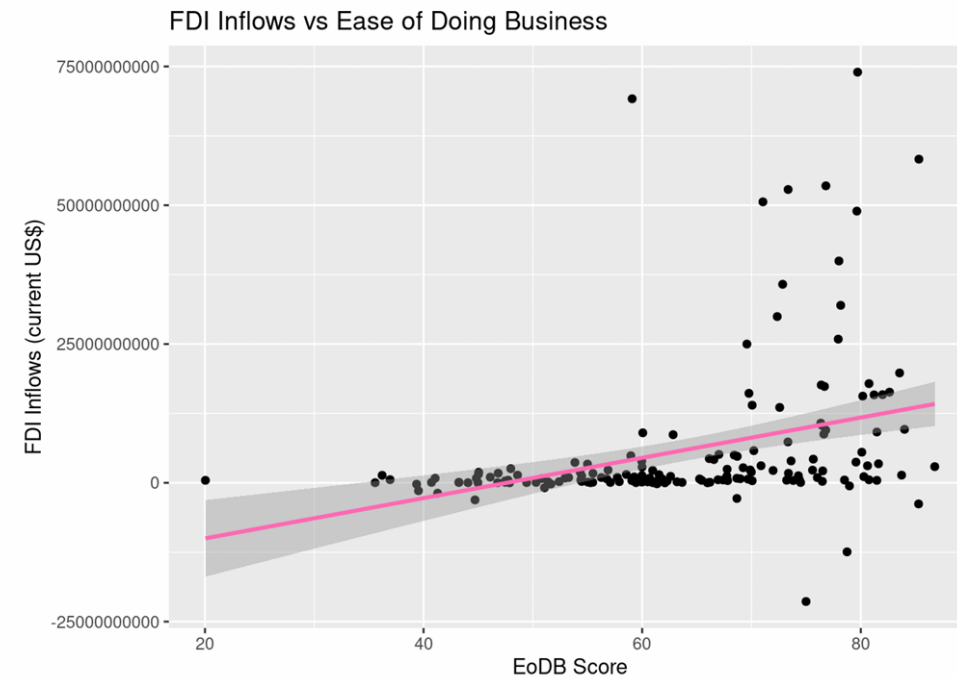
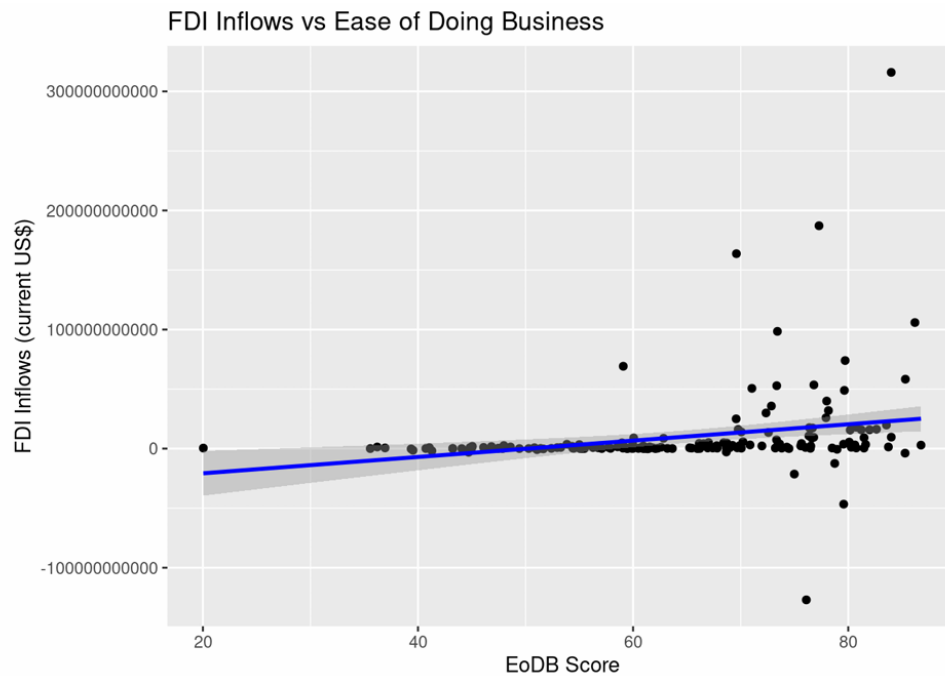
³LYALLPUR BUSINESS SCHOOL Government College University, Faisalabad,38000,Pakistan

(Xu et al., 2023)



Descriptive Statistics

The positive correlation indicated by the linear trend line suggests that as EoDB scores increase: FDI inflows also tend to increase proportionately

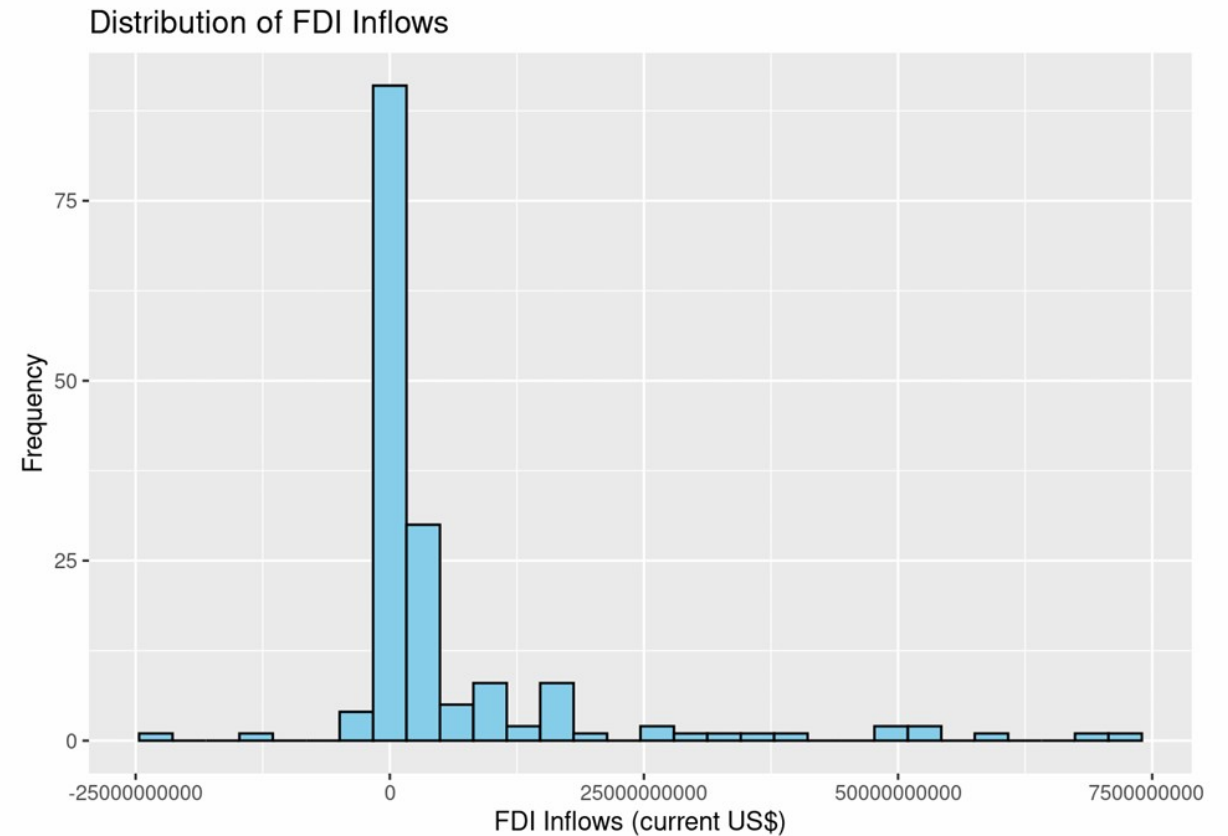




Descriptive Statistics

Distribution of the dependent variable

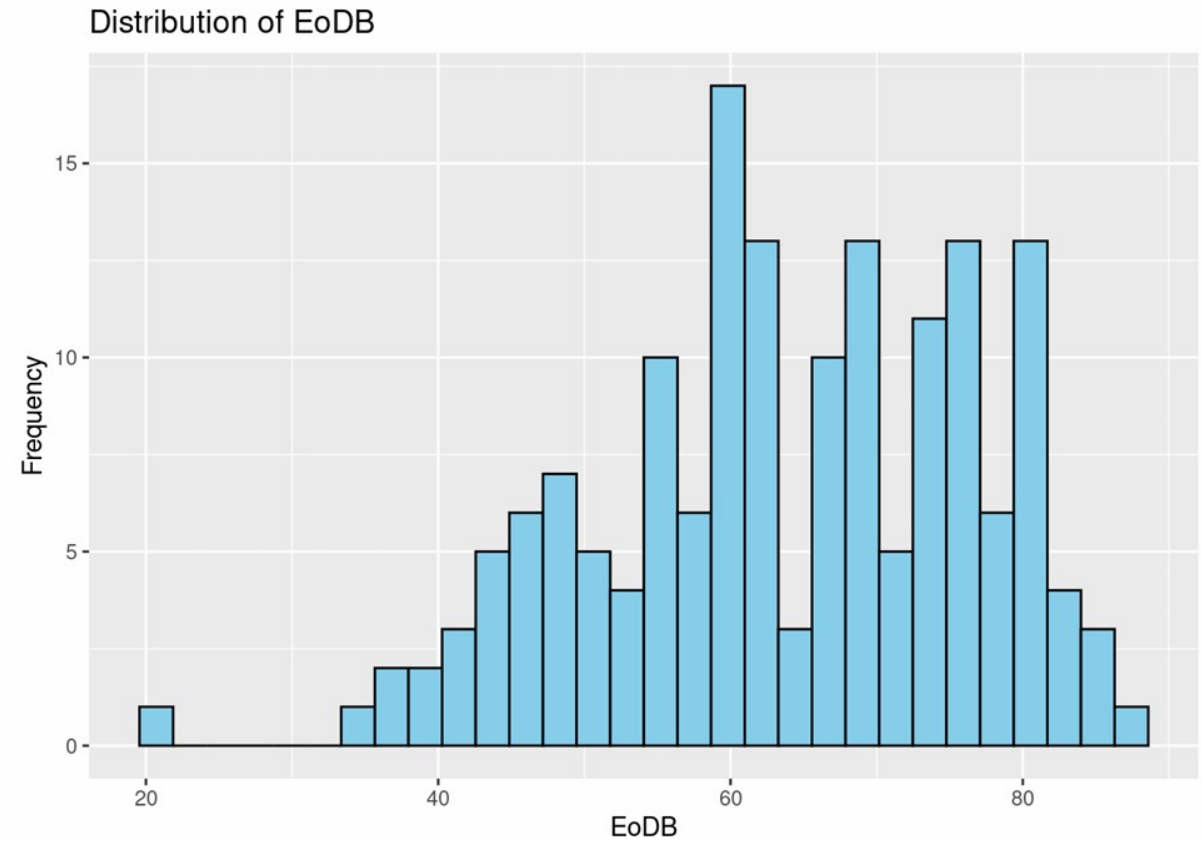
- The data is right-skewed
- Further transformation of data is needed for comprehensive analysis



Descriptive Statistics

Distribution of the explanatory variable

- the majority of countries have an EoDB index in the 40-80 range
- Small number of countries face significant challenges, reflected in scores below 40.
- The two peaks hint at potential clusters based on shared regional or economic characteristics.





Formulation and justification of models

Simplified Model (Linear Regression)

➤ $fdi \sim eodb$

Baseline Model

➤ $fdi \sim eodb + gdp + unemployment + urban + political + corruption$

Log-Lin Model

➤ $\log(fdi) \sim eodb + gdp + unemployment + urban + political + corruption$

Log-Log Model

➤ $\log(fdi) \sim \log(eodb) + gdp + unemployment + urban + political + corruption$

Interaction political stability model

➤ $\log(fdi) \sim eodb + political + eodb : political$

Interaction corruption control model

➤ $\log(fdi) \sim eodb + corruption + eodb : corruption$



Expected Results

Significant impact of Ease
of doing business on
investment attraction

Strengthening the model
and influence by introducing
control variables

Strong explanatory power
of the models and practical
significance of the results



Regression Analysis

Simplified Model

Statistically significant
regressor but completely
insignificant model

Baseline Model

Almost no relationship,
statistical insignificance of
the model

Both regressor and controls
are statistically significant, the
explanatory power of the
model is sufficient

Log-Lin Model

Minor deterioration in the
influence of variables and
decrease in the explanatory
power of the model

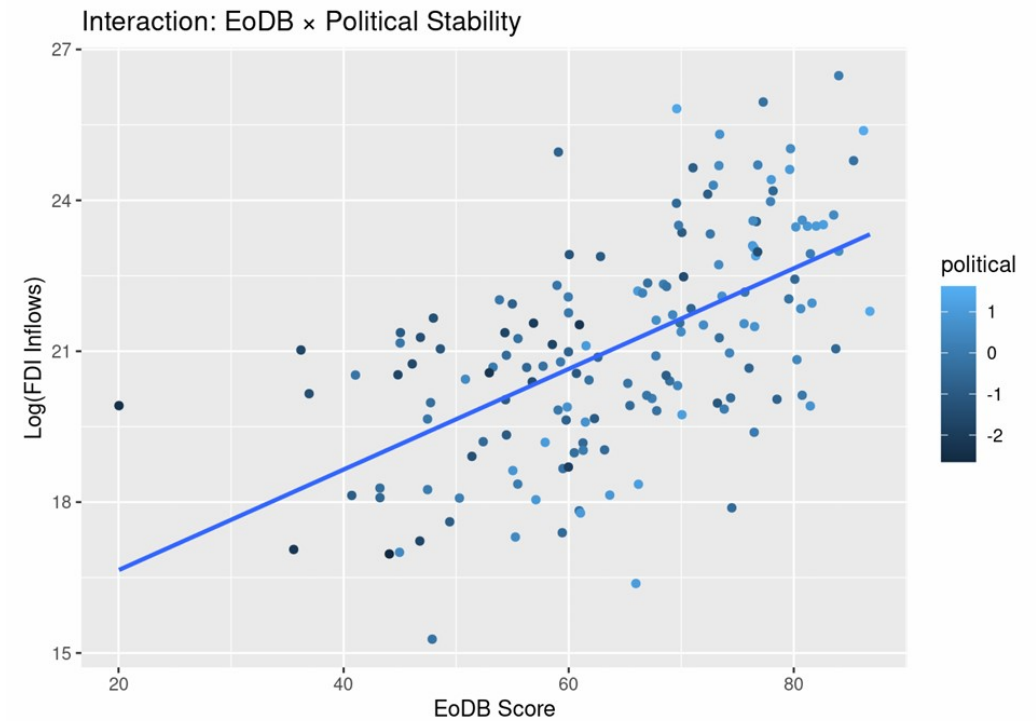
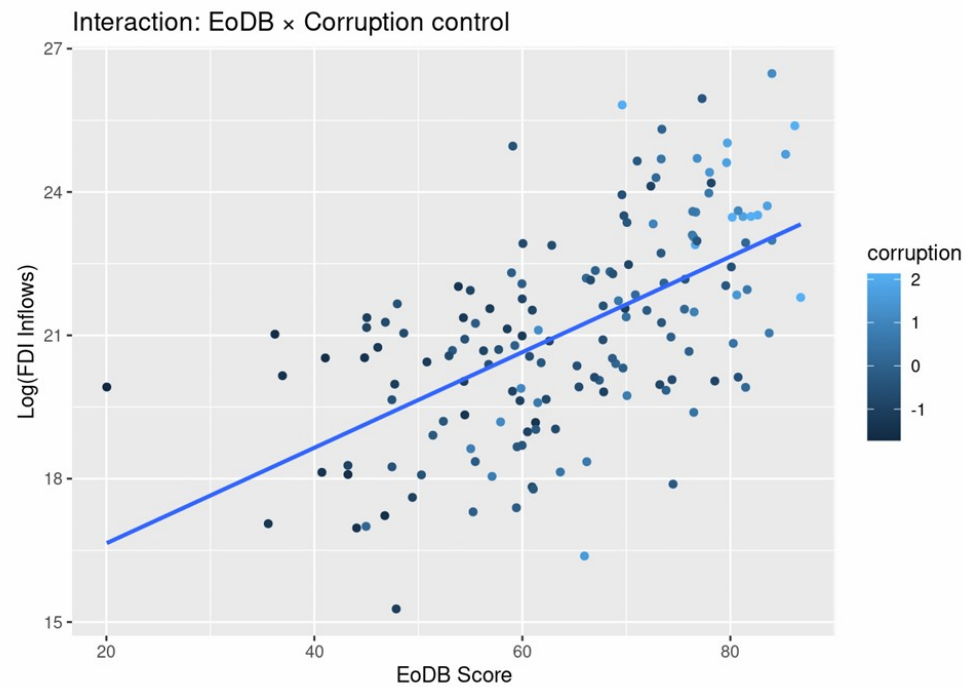
Log-Log Model



Regression Analysis

Interaction models:

Weighted statistical significance of mutual influence of variables, but average explanatory capacity





Answer to a meaningful question

- The impact, which was questionable at the beginning of the study, was confirmed
- Ease of Doing Business has a significant influence on the volume of foreign direct investment inflows
- All the selected control variables showed their significance in the models, indicating that they should be taken into account

Critical analysis of the results obtained

Contradictory Findings

- The study reveals an unexpected negative relationship between political stability/control of corruption and FDI attraction, challenging theoretical expectations
- Possible explanations include methodological biases (e.g., inclusion of authoritarian regimes) and systemic corruption persisting in stable political contexts, alongside multicollinearity issues affecting model accuracy



Analysis of the Limitations

- Limited Data Scope

Long-term patterns might not be adequately captured by only 2019 year

- Some Variables Ignored

The quality of the infrastructure, the availability of qualified labour, taxation policies, and the legal framework

- Data Reliability and Consistency

Some indexes may have inconsistencies because they were created using disparate approaches

- Causality Issues

Methods, like randomised control trials or instrumental variable methods, could be used to prove causation

Suggestions for possible expansion

- Industry differences

How different sectors of the economy attract FDI in response to changes in the business environment

- Digital transformation

The role of technologies such as blockchain and fintech in improving the business environment and attracting foreign investment.

- Sustainable development and ESG

The impact of environmental and sustainable practices on investment decisions, especially in the field of green energy and sustainable development.



Conclusion

Data

FDI inflows, Ease of doing business, GDP per capita, Political stability, Urbanization rate, Corruption control rate, Unemployment rate

Methodology

Basic regression models
Approximation and error exclusion
Interacting models

Limitations

Not accounting for dynamics
Not accounting for other variables that play a role
Different ways of recording and collecting data

